

Capitalization Policy

Aurora Retail Holdings

Effective Date: January 1, 2024

Owner: Corporate Finance – Controller's Office

1. Purpose

1.1 The purpose of this Capitalization Policy is to establish consistent criteria for determining when expenditures are recorded as capital assets versus current period expenses.

1.2 A clear and consistently applied capitalization policy improves the quality and comparability of Aurora Retail Holdings' financial statements and supports compliance with applicable accounting standards (e.g., US GAAP or IFRS, as adopted by the Company).

1.3 This policy is intended for use by Finance, Accounting, Procurement, and any team that initiates or approves spend related to property, equipment, software, and other long-lived assets.

2. Scope

2.1 This policy applies to all entities and business units consolidated into Aurora Retail Holdings' financial statements.

2.2 The policy covers tangible fixed assets (e.g., leasehold improvements, fixtures, IT hardware, warehouse equipment) and intangible assets (e.g., internally developed software, purchased software licenses with multi-year benefit).

2.3 This policy does not apply to:

- a) Inventory
- b) Prepaid expenses with a benefit period shorter than 12 months
- c) Research and development activities that do not meet capitalization criteria under the applicable accounting framework

3. Capitalization Thresholds

3.1 Individual tangible assets

3.1.1 Tangible assets are capitalized when:

- a) The total cost of the asset or project is greater than or equal to USD 5,000; and
- b) The asset is expected to provide economic benefit for more than 12 months.

3.1.2 Tangible assets with a cost below USD 5,000 are normally expensed in the period incurred, unless they are part of a larger project that meets the threshold at the project level.

3.2 Asset groups and projects

3.2.1 Related items that form part of a single project (e.g., store remodel, warehouse automation upgrade) should be evaluated together.

3.2.2 If the total project cost is greater than or equal to USD 25,000 and the project extends the useful life, capacity, or functionality of an existing asset, the project may be capitalized even if individual components fall below USD 5,000.

3.3 Intangible assets and software

3.3.1 Internally developed software and implementation costs are capitalized when:

- a) The project passes preliminary feasibility (approved business case and design); and
- b) The software is expected to be used for more than 12 months; and
- c) The total project cost is greater than or equal to USD 50,000.

3.3.2 Purchased software licenses are capitalized when:

- a) The license term exceeds 12 months; and
- b) The upfront payment is greater than or equal to USD 10,000.

4. Capitalization Method and Procedures

4.1 Initial measurement

4.1.1 Capitalized cost includes:

- a) Purchase price (net of discounts and rebates)
- b) Directly attributable costs to bring the asset to the location and condition necessary for its intended use (e.g., installation, configuration, freight)
- c) Non-refundable taxes and duties

4.1.2 Costs that are not directly attributable (e.g., general overhead, training) are expensed as incurred unless specifically allowed under applicable accounting standards.

4.2 Subsequent expenditures

4.2.1 Expenditures that extend the useful life, increase capacity, or improve functionality beyond the original specification may be capitalized as part of the existing asset.

4.2.2 Routine maintenance, repairs, and minor enhancements that do not meet the above criteria are expensed in the period incurred.

4.3 Capital project workflow

4.3.1 All capital projects must be initiated via an approved capital expenditure (CapEx) request, including:

- a) Project description
- b) Estimated total cost
- c) Business justification and expected benefits
- d) Estimated in-service date

4.3.2 The Controller's Office is responsible for reviewing CapEx requests for compliance with this policy before project codes are created.

4.3.3 Upon completion, the project owner must confirm:

- a) Actual cost incurred

- b) Assets placed in service date
- c) Any unused budget to be released

5. Depreciation and Amortization Guidelines

5.1 Useful lives

5.1.1 Typical useful lives for major asset classes are:

- a) Leasehold improvements: 5–10 years or lease term, whichever is shorter
- b) Store fixtures and equipment: 3–7 years
- c) IT hardware: 3–5 years
- d) Internally developed software: 3–5 years

5.1.2 Deviations from standard useful lives must be documented and approved by the Controller's Office.

5.2 Depreciation basis and method

5.2.1 Depreciation is calculated on a straight-line basis over the asset's estimated useful life, net of estimated residual value.

5.2.2 Depreciation begins when the asset is placed in service (available for its intended use), not when the project is approved or cash is paid.

5.3 Impairment and disposals

5.3.1 Assets are reviewed for indicators of impairment at least annually and when events or changes in circumstances suggest that carrying values may not be recoverable.

5.3.2 Gains or losses on disposal are recognized in the period of disposal as the difference between proceeds and net book value.

6. Recordkeeping and Controls

6.1 Fixed asset register

6.1.1 All capitalized assets must be recorded in the fixed asset register with:

- a) Asset ID
- b) Description
- c) Location
- d) In-service date
- e) Cost and accumulated depreciation
- f) Responsible department

6.1.2 The fixed asset register is maintained by the Corporate Accounting team.

6.2 Documentation

6.2.1 Supporting documentation (invoices, contracts, CapEx approvals, project completion certificates) must be retained for at least seven (7) years or longer where required by local regulation.

6.2.2 For software projects, documentation should include project charters, design approvals, and evidence of transition from preliminary to development stage.

6.3 Policy exceptions

6.3.1 Exceptions to this policy require written approval from the Controller and the VP of Finance.

6.3.2 Approved exceptions must be clearly documented and retained with the associated asset file.

7. Review and Updates

7.1 This policy will be reviewed at least every two years by the Controller's Office.

7.2 Changes to capitalization thresholds or useful lives must be approved by the CFO.